REGIONAL HETEROGENEITY AND MULTI-LEVEL GOVERNANCE: DESIGNING DIFFERENTIATED REGIONAL POLICY IN RUSSIA

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Abstract. Regional heterogeneity is usually described as an economic disparity, yet it is also a persistent condition of political coordination in a federal state. This paper examines how differences in sectoral specialization, infrastructure, and investment cycles should affect Russian regional policy. It combines multi-level governance and policy design theory with a structured comparison of Tula Region, Primorsky Territory, the Republic of Sakha (Yakutia), and Sakhalin Region. Official statistics for 2019–2024 are used as contextual diagnostics rather than direct measures of governmental performance. The comparison shows that identical targets can conceal different actor configurations and distributional effects. Industrial development requires coordination among enterprises, educational institutions, and municipalities; transport-logistics policy depends on federal infrastructure and urban interests; resource regions face conflicts between extraction centres and remote territories; mature oil-and-gas economies require credible diversification. The paper proposes a three-level architecture combining common federal accountability rules, profile-specific modules, and project-level adaptive coordination. Its contribution is to translate measurable structural differences into explicit requirements for authority allocation, instrument choice, indicators, and feedback. Differentiation is treated not as an exception to policy unity but as a condition for substantive equality and accountable federal governance.

Keywords: regional policy; multi-level governance; federalism; policy design; regional heterogeneity; intergovernmental coordination.

JEL Classification: H77, H83, O18, R58.

1. Introduction

Territorial inequality has a double political meaning. It concerns the distribution of income, infrastructure, and economic opportunity, but it also changes the environment in which public authorities formulate and implement collective decisions. Regions with different production structures depend on different groups of firms, federal agencies, municipalities, labour markets, and transport systems. Consequently, a formally uniform policy instrument may create dissimilar incentives and may distribute benefits and costs among different constituencies. Regional heterogeneity is therefore not merely an external condition to be corrected after a policy is designed; it is part of the policy problem itself.

Multi-level governance research distinguishes stable territorial jurisdictions from flexible task-oriented arrangements that connect public and non-public actors across levels [1]. This distinction is useful for analysing Russian regional policy. Constitutional and statutory competences form a relatively permanent vertical framework, whereas the practical solution of an industrial, logistical, or resource-distribution problem often requires a temporary or sector-specific configuration. The political challenge is to provide room for adaptation without turning discretion into opaque bargaining or weakening the comparability of results.

Policy design theory adds a second proposition: instruments are not neutral delivery devices. Regulation, finance, organization, and information allocate authority and resources differently and create distinct patterns of behaviour [2]. Lowi's classical argument that policy content shapes political relations is especially relevant when the same administrative measure is applied to structurally dissimilar territories [3]. A subsidy tied only to aggregate investment, for example, may encourage industrial modernization in one region, increase transit capacity without local value creation in another, or reinforce dependence on extraction in a third.

This paper asks how structural differences among Russian regions can be translated into differentiated but accountable policy arrangements. Its objective is to develop a governance architecture rather than to rank the selected territories. The working proposition is that federal policy unity is better protected by common procedures of justification, measurement, and review than by identical targets for all regions. The empirical comparison identifies how sectoral specialization affects actor configurations and the choice of instruments; the normative part specifies which components should remain uniform and which should vary.

2. Regional Heterogeneity as a Governance Problem

Three analytical links connect economic structure to political organization. First, specialization affects the distribution of resources and bargaining capacity. A region dominated by one extractive industry contains a small number of powerful corporate actors and a geographically uneven tax base. A diversified industrial region contains a broader network of enterprises, educational organizations, and urban municipalities. A transport hub depends on federal infrastructure operators and on decisions made outside the regional executive. These differences affect whose information is indispensable and whose interests may be excluded.

Second, specialization changes the territorial scale of costs and benefits. A port expansion may produce national trade benefits while concentrating congestion and environmental costs in a particular municipality. A mining project may raise regional output while leaving remote settlements without improved accessibility. An industrial modernization programme may increase productivity but create shortages of skills or uneven adjustment across local labour markets. Aggregate regional indicators cannot reveal these distributional effects without additional territorial and social measures.

Third, the economic cycle changes the time horizon of political responsibility. Capital-intensive projects have long lags between authorization, expenditure, commissioning, employment, and fiscal returns. Mature resource projects can support current revenue while new investment weakens. If the same annual target is imposed on projects at different stages, administrators may be rewarded or punished for timing effects rather than for decisions under their control. Differentiation is thus required not only across regional types but also across stages of a policy cycle.

3. Comparative Cases and Actor Configurations

The empirical material comprises official data on gross value added, gross regional product, and investment in fixed capital for 2019–2024 [4–6]. Monetary values are reported at current prices, so they incorporate price changes as well as physical growth. The figures are used to identify contrasting contexts, not to estimate causal effects of particular programmes. The four cases were selected theoretically: they represent an industrially diversified region, a transport-logistics territory, a large extractive region with dispersed settlement, and a mature oil-and-gas economy. This most-different comparison is intended to expose the limits of a single policy template.

In Tula Region, the manufacturing share of gross value added increased from 37.2 to 42.3 per cent. Nominal GRP reached 218.4 per cent of its 2019 level, while investment reached 191.0 per cent. These indicators describe an expanding industrial base but do not by themselves demonstrate inclusive development. The principal governance configuration connects the regional government, large manufacturers, vocational and higher education institutions, and municipalities where production and labour-market pressures are concentrated. Relevant instruments include skills agreements, technology and supplier-development projects, and coordinated monitoring of productivity, stable employment, and real wages. The policy problem is not simply to attract capital but to align modernization with human-capital and territorial adjustment.

Primorsky Territory shows a different configuration. The combined share of transport and trade rose from 33.3 to 34.8 per cent; investment reached 254.3 per cent of the 2019 level, whereas nominal GRP reached 186.9 per cent. A transport-logistics economy depends on ports, railways, federal regulators, large private operators, and urban authorities. National gains from higher throughput can coexist with congestion, land-use conflict, and limited permanent employment in host cities. Coordination must therefore include municipal interests and indicators such as processing time, permanent jobs, local value added, and pressure on urban infrastructure. Investment volume alone is politically incomplete because it does not show who receives the benefits or bears the costs.

In the Republic of Sakha (Yakutia), the mining share increased from 49.6 to 58.2 per cent, nominal GRP rose to 207.5 per cent of the 2019 level, and investment to 195.6 per cent. Distance, dispersed settlement, and high infrastructure costs make distribution across territory central to the policy design. Regional averages can conceal a divide between extraction centres and remote municipalities. The actor configuration must therefore give municipalities a structured role in setting priorities and monitoring employment localization, local procurement, accessibility, and social infrastructure. Agreements with resource companies should specify territorial obligations and disclosure rules rather than relying solely on aggregate output or tax revenue.

Sakhalin Region remains highly dependent on extraction, although its mining share declined from 63.7 to 56.5 per cent. Nominal GRP rose to 134.7 per cent of the 2019 level, while investment was 97.9 per cent. This combination may reflect a mature project cycle, a high base, and price dynamics; it does not prove policy failure. It does, however, create a political problem of transition from project rent to a broader employment base. Diversification measures should be assessed through non-extractive value added, durable jobs, and private investment outside the dominant sector. A credible portfolio also requires the ability to terminate symbolic or ineffective measures, not merely to add programmes.

The comparison is consistent with research emphasizing the persistence of Russian regional differentiation and the role of specialization, agglomeration, and institutions [7]. More importantly, it demonstrates that a common metric changes meaning across contexts. Rising investment may indicate industrial renewal, a transport construction cycle, expansion of extraction, or the beginning of diversification. The political significance of the indicator depends on the associated actors, territorial distribution, and time horizon.

4. A Three-Level Architecture for Differentiated Policy

The proposed architecture contains three interdependent levels. The first is a common federal core. It should define a limited set of national objectives, legal constraints, data standards, and review procedures. Commonality is essential where rights, fiscal discipline, and minimum public-service guarantees are concerned. It is also needed to prevent strategic documents from becoming incomparable. The federal core should require each programme to identify the public

problem, responsible authority, target population or territory, causal assumptions, data source, review date, and conditions for continuation or termination.

The second level consists of profile-specific policy modules. A module is not a permanent label attached to a region; it is a justified combination of coordination arrangements, instruments, and outcome indicators. The industrial module prioritizes skills, technology diffusion, supplier networks, and the distribution of employment gains. The transport-logistics module connects capacity decisions to urban development, permanent employment, and network performance. The resource module emphasizes local procurement, accessibility, and municipal participation. The mature oil-and-gas module uses staged diversification, portfolio review, and measures of non-extractive activity. A region may combine modules when several problems coexist.

The third level is project-based adaptive coordination. Complex interventions require task-specific bodies that connect ministries, municipalities, infrastructure operators, firms, and social stakeholders. Polycentric governance is valuable here because several decision centres can generate information and experimentation while remaining subject to common rules [8]. The task body should not become a substitute for legally responsible authorities. Its mandate, membership, information rights, escalation procedure, and termination date must be explicit.

The federal core secures equality of procedure; modules improve the fit between instruments and structural conditions; project coordination manages implementation. When outcomes diverge from plans, actors first test delivery, then reconsider the module's assumptions, and finally determine whether federal rules require revision.

This architecture is compatible with the political-regionalist view that centre–region relations combine hierarchy, bargaining, and adaptation rather than following a single logic [9]. It also gives operational meaning to strategic planning requirements. Federal Law No. 172-FZ requires coordination among planning documents at different levels [10], while the Spatial Development Strategy through 2030 identifies reduction of interregional disparities and realization of territorial potential as national objectives [11]. The proposed model treats this vertical connection as an accountable chain of problem definition and review, not merely as documentary consistency.

5. Accountability, Feedback, and Implementation Risks

The main risk of differentiated policy is opportunistic exceptionalism. Authorities can use specificity to lower targets, conceal distributional losses, or preserve ineffective programmes. Three safeguards are therefore necessary. First, every deviation from the common indicator set should be accompanied by a published rationale explaining the regional problem and the expected mechanism of change. Second, additional indicators should supplement rather than replace core measures of legality, access, employment, and fiscal responsibility. Third, programme review should involve actors affected by implementation, especially municipalities whose costs are hidden by regional averages.

A second risk is indicator substitution: measured outputs may displace the public purpose. Number of agreements, expenditure execution, and facility completion are useful control measures but do not establish social benefit. Each module should distinguish resources, administrative outputs, social outcomes, and distributional effects. The responsible authority must explain divergences among these levels and specify a corrective decision.

A third risk is fragmentation. Task-specific bodies may duplicate functions and obscure responsibility. Their legitimacy depends on a precise mandate and traceable decisions. Adaptation works only when the public can determine which actor chose the instrument, which evidence

supported the choice, and what happened after an adverse signal. Differentiation therefore increases rather than reduces the demand for procedural transparency.

6. Conclusion

Regional heterogeneity should be understood as a governance variable. The four cases demonstrate that sectoral specialization changes actor configurations, the territorial distribution of effects, and the appropriate time horizon of evaluation. Identical targets cannot capture these differences and may reproduce inequality behind formal uniformity.

The proposed three-level architecture combines a common federal accountability core, profile-specific modules, and project-level adaptive coordination. Its central principle is that policy unity should rest on common rules of justification, measurement, and review, whereas instruments and additional indicators should reflect the diagnosed regional problem. Under these conditions, differentiation is not a concession to fragmentation. It is a mechanism for substantive equality, institutional learning, and politically accountable federal governance.

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